Strategic Sales Performance Analysis

Executive Data Review: Superstore Q1 2026

Profitability Optimization & Market Risk Assessment

EXECUTIVE SUMMARY

Growth Highlights

Technology remains our primary profit engine, generating over $145,000 in net profit. Profit margins in Office Supplies are strong, driven by high-volume, low-shipping items like Paper and Labels.

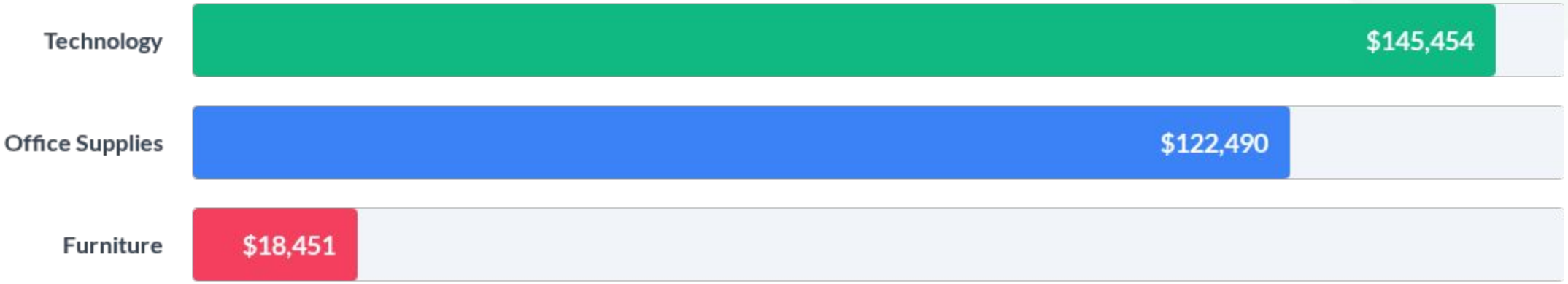
Strategic Risks

Furniture is currently a net drain on resources. Heavy losses in the "Tables" sub-category, particularly in the East Region, are offsetting gains made by our core high-performance divisions.

Product Category Performance

Evaluating the gap between Sales Volume and Net Profitability

CATEGORY PROFIT RANKING



Technology generates nearly 8x the profit of Furniture, despite having comparable sales volume.

THE FURNITURE PROFITABILITY GAP

Operational Challenges

- **Logistics:** Bulky dimensions lead to excessive shipping and storage overheads.
- **Margin Erosion:** High average discounts (20%+) are required to move inventory.
- **Table Losses:** The "Tables" sub-category alone lost **$17,725** globally this quarter.

The "Discount Trap" Analysis

Investigating the inverse relationship between Pricing Strategy and Bottom-line Results

THE DISCOUNT THRESHOLD

Our regression analysis identifies a critical profitability threshold at **20% discount**.

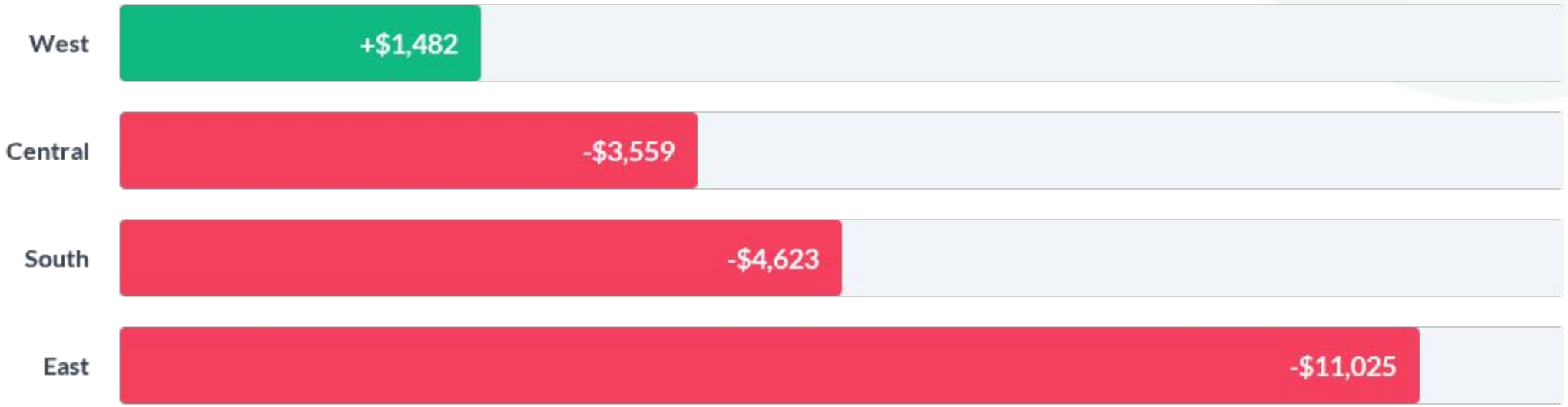
Transactions exceeding 25% discount show a 90% probability of a net loss. The "Death Zone" (50%+ discount) accounts for the vast majority of Furniture losses.

Finding: Aggressive discounting does not drive sustainable volume; it drives capital erosion.

Regional Deep-Dive

Isolating Geographical Profit Craters across the Superstore Network

GLOBAL TABLE PROFITS BY REGION



The East Region is responsible for 62% of all global losses in the Table category.

GROUND ZERO: WORST PERFORMING CITIES

Region	City	Sub-Category	Total Profit Loss
East	New York City	Tables	-$3,542.72
East	Philadelphia	Tables	-$2,588.75
East	Lorain	Tables	-$713.43
East	Buffalo	Tables	-$517.03

ACTIONABLE RECOMMENDATIONS

Discount Caps

Implement a 15% system-level cap on Furniture discounts. Any exceptions must undergo managerial approval for ROI validation.

Logistics Audit

Review East Coast fulfillment partnerships. High urban delivery costs in NYC/Philly are cannibalizing existing margins.

Category Pivot

Reallocate 20% of Furniture marketing budget toward high-performing Technology accessories to maximize total Q2 revenue.

Questions?

Analytical review complete. Data sources: Superstore Inventory & Sales Ledger 2026.

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